TECHNOVA SOLUTIONS PVT. LTD.

EXPENSE POLICY

Document ID	TN-FIN-POL-001
Document Type	Finance Policy
Document Owner	Finance Department
Approving Authority	Chief Financial Officer / Managing Director
Classification	Internal — Finance
Version	1.0
Effective Date	01 April 2026
Review Cycle	Annual
Status	Active
Supersedes	New Policy

1. Purpose

This Expense Policy establishes the principles, eligibility requirements, approval controls, documentation standards, and reimbursement rules for business expenses incurred on behalf of TechNova Solutions Pvt. Ltd. (“TechNova” or “the Company”).

The policy is intended to ensure that business expenses are reasonable, necessary, appropriately approved, properly documented, and recorded in accordance with Company financial controls.

2. Scope

This policy applies to employees, managers, officers, and other authorized personnel who incur or approve expenses on behalf of TechNova. Contractors and other third parties are subject to the terms of their engagement and any applicable contractual requirements.

The policy applies to travel, meals, local transportation, business meetings, supplies, professional activities, approved subscriptions, and other legitimate business expenditures.

3. Core Principles

- Business expenses must have a legitimate business purpose.
- Employees should use Company resources responsibly and seek reasonable cost-effective options.
- Expenses must be approved by an authorized approver before commitment where prior approval is required.
- Original or valid electronic supporting documentation must be retained.
- Employees must not approve their own expenses.
- Personal expenses must not be charged to the Company.
- Expenses must be submitted within the required reporting period.
- Exceptions require appropriate documented approval.

4. Roles and Responsibilities

Role	Responsibilities
Employee / Claimant	Incur reasonable business expenses, obtain approvals, retain receipts, and submit complete claims.

Role	Responsibilities
Manager / Approver	Confirm business purpose, necessity, reasonableness, budget availability, and policy compliance.
Finance	Review claims, apply financial controls, process approved reimbursements, and maintain records.
Budget Owner	Confirm that expenditure is appropriate for the relevant budget or cost center.
CFO / Authorized Executive	Approve designated exceptions and higher-value or sensitive expenditures.

5. Business Purpose

Every expense claim must state a clear business purpose sufficient for an independent reviewer to understand why the expenditure was necessary. Generic descriptions such as “business expense” or “official work” should not be used when more specific information is available.

- Meeting with a customer or prospective customer
- Approved business travel
- Engineering or operational activity
- Employee or team business event
- Approved professional development
- Business supplies or services

6. Prior Approval

Employees must obtain prior approval for expenses where this policy, an applicable department process, a budget control, or an approval matrix requires it.

- Travel requiring Company-funded transportation or accommodation
- High-value purchases or commitments
- Customer entertainment or unusual hospitality
- Conference or professional-event attendance
- Recurring subscriptions or services
- Expenses outside normal departmental budgets

7. Reasonable and Necessary Expenses

An expense may be reimbursed only when it is reasonable in amount and necessary for legitimate Company business. The lowest-cost option is not always mandatory; however, materially higher-cost options should have a reasonable business justification.

8. Personal Expenses

- Personal shopping
- Entertainment unrelated to business
- Personal meals or activities
- Fines and penalties resulting from personal conduct
- Personal upgrades
- Expenses incurred for family members without approved business justification

Personal expenses must not be submitted for reimbursement. If a personal amount is accidentally charged to a Company payment method, the employee must notify Finance and arrange correction promptly.

9. Receipts and Supporting Documents

Claims should include receipts, invoices, tickets, booking records, or other evidence sufficient to establish the amount, date, supplier, and business purpose.

- Receipts should be legible.
- Electronic receipts are acceptable when they contain sufficient transaction details.
- Lost receipts require a written explanation and any alternate evidence permitted by Finance.
- Supporting documents must not be altered.

10. Expense Submission

Employees should submit expense claims through the designated Company expense or finance process within 15 calendar days after the end of the relevant expense period or return from business travel, unless a stricter departmental deadline applies.

- Select the appropriate expense category.
- Enter the correct date and amount.
- Identify the business purpose.
- Assign the appropriate cost center or project where required.
- Attach supporting documents.
- Declare any personal component.

11. Expense Currency and Conversion

Expenses incurred in a foreign currency should include the applicable conversion basis and supporting transaction evidence where available. Finance may apply the Company's approved accounting exchange-rate methodology when the actual card or bank conversion rate is unavailable or inappropriate for accounting purposes.

12. Business Travel

Business travel must be undertaken only when it provides a legitimate business benefit and remote alternatives are not reasonably sufficient.

- Travel should be planned in advance where practical.
- Reasonable economy or standard travel classes should normally be used.
- Accommodation should be safe, reasonable, and appropriate for the business purpose.
- Travel dates should normally align with the business requirement.
- Personal extensions are permitted only when they do not create additional Company cost or risk and are appropriately disclosed.

13. Air Travel

Employees should normally use economy class for domestic and short-haul business travel. Premium classes require documented business justification and approval from the designated senior authority.

Optional seat upgrades, excess baggage unrelated to business requirements, lounge memberships, and similar personal enhancements are generally not reimbursable unless specifically approved.

14. Rail and Ground Transportation

- Rail travel should use a reasonable class appropriate to the trip.
- Public transportation may be used when practical and safe.
- Taxi or app-based transportation may be used for business purposes.

- Premium vehicle categories should not be selected without a business reason.
- Parking and tolls incurred for approved business travel may be reimbursed.

15. Local Business Travel

Reasonable local transportation expenses incurred for approved business activity may be reimbursed. Employees should select practical transportation based on safety, time, cost, and business need.

16. Mileage and Personal Vehicles

Where use of a personal vehicle for Company business is specifically authorized, reimbursement may be based on the Company's approved mileage methodology or documented business-related operating cost approach.

Routine commuting between an employee's home and normal workplace is not a business expense.

17. Accommodation

- Use reasonably priced business-appropriate accommodation.
- Room charges should normally be limited to the employee's standard room.
- Personal upgrades and entertainment charges are not reimbursable.
- Additional nights require a business justification.
- Incidental charges must be itemized.

18. Meals During Business Travel

Reasonable meals incurred during approved business travel may be reimbursed subject to applicable Company limits and approval requirements.

The purpose and participants should be recorded for business meals involving customers, suppliers, candidates, or other external parties.

19. Business Meals and Entertainment

Business meals and hospitality must have a legitimate business purpose and be reasonable in relation to the circumstances.

- Identify attendees where required.
- Identify the business purpose.
- Do not provide hospitality intended to improperly influence a business decision.
- Comply with applicable anti-bribery and conflict-of-interest requirements.

20. Alcohol and Hospitality

Alcohol-related business expenses require heightened judgment and must comply with Company requirements and applicable law. Excessive or inappropriate consumption is not a legitimate business expense. Hospitality involving public officials or regulated counterparties may require additional review.

21. Conferences and Professional Events

Conference registration, professional events, and industry memberships may be reimbursed when they are relevant to the employee's role and appropriately approved.

- Obtain approval before committing funds where required.
- Document the business relevance.
- Separate personal travel costs from business costs.
- Submit registration invoices and other supporting records.

22. Training and Certification

Approved training and professional certification costs may be reimbursed when they support role requirements, development plans, or business needs. Finance or HR processes may impose separate eligibility or repayment conditions.

23. Office Supplies and Small Purchases

Employees may purchase low-value business supplies when authorized and when procurement channels are not required. Recurring or material purchases should be routed through the Company's procurement process.

24. Software and Online Subscriptions

Employees must not independently purchase software, cloud services, AI tools, data services, or recurring subscriptions for Company use without appropriate approval.

- Security and privacy requirements must be considered.
- Procurement requirements must be followed.
- Subscriptions should have an identified business owner.
- Renewal dates and cancellation responsibilities should be recorded.

25. Customer and Vendor Expenses

Expenses associated with customers, vendors, partners, or suppliers must be business-related, reasonable, and compliant with applicable ethical and anti-bribery requirements.

26. Recruitment-Related Expenses

Approved candidate travel, interview meals, assessment-related expenses, or other recruitment costs may be reimbursed when coordinated through the appropriate HR and hiring process.

27. Employee Events

Approved employee events, team activities, and business gatherings may be reimbursed within authorized budgets. Personal entertainment or unapproved social activities are not automatically reimbursable.

28. Gifts

Business gifts must comply with Company requirements concerning conflicts of interest, anti-bribery, value limits, and recipient restrictions. Cash or cash-equivalent gifts should not be provided to business counterparts unless specifically permitted under applicable requirements.

29. Expense Categories

- Travel and transportation
- Accommodation
- Meals
- Business hospitality
- Professional development
- Office supplies
- Approved software or services
- Other authorized business expenses

30. Corporate Cards

Employees issued a Company payment card must use it only for authorized business expenditure and must submit complete supporting records within the required timeframe.

- Do not lend the card or credentials.
- Report loss or suspected misuse immediately.
- Do not split transactions to avoid approval thresholds.
- Reconcile transactions promptly.

31. Cash Advances

Cash advances may be issued only where permitted by Finance and where a business need justifies advance funding.

Unused balances must be returned or reconciled promptly after the relevant business activity.

32. Duplicate Claims

An expense must not be reimbursed more than once through different mechanisms such as a personal claim and corporate card. Employees are responsible for identifying and correcting duplicate submissions.

33. Split Transactions

Transactions must not be divided into multiple smaller purchases for the purpose of bypassing approval limits, procurement controls, or financial review.

34. Approvals

The approver must have sufficient authority for the amount and nature of the expense. Approval should be based on the actual business purpose and not merely the claimant's statement.

- Employees cannot approve their own claims.
- Approvers should not approve claims where they have an unresolved conflict of interest.
- Finance may return incomplete claims.
- Additional approval may be required for exceptions.

35. Cost Centers and Project Codes

Expenses should be allocated to the correct department, cost center, client, project, or accounting category. Incorrect coding may delay reimbursement and can create inaccurate financial reporting.

36. Finance Review

Finance may review claims for policy compliance, documentation, accounting classification, duplicate payments, unusual patterns, and budget considerations.

Finance may request additional evidence or clarification before processing a claim.

37. Rejected or Returned Claims

Claims may be returned when documentation is incomplete, approval is missing, the expense is personal, the business purpose is unclear, or the expense does not meet policy requirements.

Employees may correct and resubmit claims where the issue is remediable.

38. Reimbursement Timing

Approved claims are processed according to the Company's finance processing cycle and applicable payroll or payment arrangements. Processing time may vary based on completeness, approval timing, banking information, and finance controls.

39. Taxes and Statutory Requirements

Where tax invoices, tax identification information, withholding requirements, or other statutory documentation is required, employees must provide the information reasonably requested by Finance.

40. Foreign Travel

- Obtain required travel approvals.
- Use reasonable transportation and accommodation.
- Maintain foreign-currency transaction records.
- Separate personal expenses.
- Comply with applicable visa, tax, and immigration requirements.

41. Personal Travel Extensions

Employees may combine personal travel with approved business travel only when the arrangement is authorized and does not result in additional Company cost or unacceptable business, security, immigration, or insurance risk.

Any incremental personal cost must be paid by the employee.

42. Travel Cancellation and Change Fees

Reasonable cancellation or change fees resulting from business requirements may be reimbursed. Fees caused by avoidable personal changes may not be reimbursed.

Employees should cancel unused reservations promptly to minimize Company loss.

43. Emergency Expenses

Reasonable emergency expenses incurred to protect employee safety, maintain business continuity, or respond to an unforeseen business event may be reimbursed subject to prompt notification and subsequent documentation.

44. Prohibited Expenses

- Personal purchases
- Fines, penalties, or legal consequences arising from personal conduct
- Expenses submitted with falsified documentation
- Unauthorized purchases
- Expenses incurred to improperly influence a decision
- Expenses intended to conceal a conflict of interest
- Duplicate or knowingly inaccurate claims

45. Fraud and Misrepresentation

Submitting false receipts, altering documents, misrepresenting business purpose, concealing personal expenses, or intentionally claiming an amount greater than the actual expense may result in disciplinary action and recovery of amounts improperly paid.

46. Conflicts of Interest

Employees must disclose relevant conflicts when an expense involves a supplier, customer, candidate, family member, or other party with whom the employee has a personal relationship or financial interest.

47. Record Retention

Expense claims and supporting documentation must be retained according to applicable Company financial record-retention requirements. Employees should not delete or alter records that are required for an open financial review, audit, investigation, or legal requirement.

48. Audit and Monitoring

Finance and authorized internal control functions may conduct periodic reviews of expense claims, including sampling, trend analysis, duplicate detection, threshold analysis, and review of unusual transactions.

49. Privacy

Expense records may contain personal or financial information. Access must be limited to personnel with a legitimate business need and handled according to applicable Company privacy and information-security requirements.

50. Manager Accountability

Managers are responsible for reviewing claims carefully rather than treating approval as an administrative formality.

- Confirm the expense supports business objectives.
- Confirm the claimant and attendees are appropriate.
- Check reasonableness.
- Check required receipts and approvals.
- Escalate unusual or potentially non-compliant claims.

51. Finance Escalation

Finance should escalate material, repeated, suspicious, or high-risk exceptions to the appropriate management, compliance, HR, legal, or audit authority as applicable.

52. Exceptions

Exceptions may be granted only by an authorized approver and should be documented with the reason, amount, duration, risk, and approval. An exception for one transaction does not automatically establish a permanent policy exception.

53. Non-Compliance

Non-compliance may result in delayed or denied reimbursement, recovery of improperly paid amounts, withdrawal of expense privileges, disciplinary action, or other appropriate action depending on severity and applicable requirements.

54. Employee FAQ

Can I claim a meal while working late?

Only when the expense qualifies under applicable Company requirements and the business circumstances and approval requirements are satisfied.

Can I buy software with my personal card and claim it later?

Only if the purchase is authorized under the applicable process. Employees should not independently subscribe to Company software or services.

What if I lose a receipt?

Provide the explanation and alternate evidence required by Finance. Reimbursement is not guaranteed.

Can I combine business and personal travel?

Yes, where permitted and approved, provided personal costs and risks are separated from Company costs.

Can I claim normal commuting costs?

Normal commuting between home and the regular workplace is generally not reimbursable.

Who can approve my expense?

An authorized approver with sufficient authority for the expense. You cannot approve your own claim.

What happens if I submit a claim late?

Finance may return or delay processing depending on the circumstances and applicable reporting requirements.

Can I split a purchase into several transactions?

Not to avoid an approval or procurement threshold. Such behavior is prohibited.

Are customer meals reimbursable?

Reasonable business meals may be reimbursed when properly authorized, documented, and compliant with applicable ethical requirements.

What if a business trip is cancelled?

Notify the relevant travel or finance process promptly and cancel reservations where possible to reduce avoidable costs.

55. Policy Governance

The Finance Department owns this policy and will review it at least annually or when material changes occur in financial controls, business operations, applicable requirements, or Company structure.

The latest approved version maintained in the official Company repository is the authoritative version.

56. Revision History

Version	Effective Date	Description	Owner	Approval
1.0	01 April 2026	Initial release of Expense Policy	Finance Department	CFO / Managing Director

57. Related Documents

- Reimbursement Policy
- Procurement Policy
- Approval Matrix
- Employee Handbook
- Information Security Policy

END OF DOCUMENT

TN-FIN-POL-001 | Version 1.0 | Internal — Finance | Finance Department